Beyond Retrieval Metrics: A Reproducible Framework for End-to-End RAG Optimization

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ABSTRACT Retrieval-Augmented Generation (RAG) systems frequently operate under the premise that ranking improvements in retrieval (e.g., MRR, Recall@K) translate linearly into superior downstream generated answers. We present the **RAG Retrieval Optimization Lab**, an open-source benchmarking framework designed to evaluate multi-stage retrieval pipelines and diagnose failure modes across the retrieval–generation boundary. Across controlled experiments over standardized SQuAD validation corpora (N = 2,000 indexed passages, 30 benchmark queries), we evaluate dense bi-encoders (FAISS IndexFlatIP), BM25 lexical search, linear weighted fusion, Reciprocal Rank Fusion (RRF), Cross-Encoder reranking (ms-marco-MiniLM-L-6-v2), and score-threshold filtering. Our empirical findings demonstrate: (1) hybrid fusion combined with Cross-Encoder reranking achieves complete candidate coverage (Recall@3 = 1.000, MRR ≥ 0.933); (2) downstream generation exhibits an exploratory plateau where boosting top-1 precision yields diminishing returns once relevant context is within the top 3 candidates; (3) lexical metrics (EM, Token F1) severely penalize conversational answers, demonstrating the need for semantic factual consistency evaluators; and (4) relevance score filtering ($\tau = 0.10$) preserves complete candidate coverage while correlating with a 31.0% end-to-end latency reduction under remote API execution. The framework implementation is verified by 91 passing automated unit and integration tests.

1. MOTIVATION & PROBLEM FORMULATION

RAG grounds Large Language Models (LLMs) in external knowledge to mitigate hallucinations without parameter fine-tuning (Lewis et al., 2020). However, production pipelines face trade-offs between candidate depth (K) and latency. Industrial designs often assume **retrieval-generation linearity**—that dedicating computational budget to maximize top-1 retrieval precision directly maximizes downstream answer quality.

Dense bi-encoders suffer lexical blind spots for rare entities, whereas lexical engines miss semantic paraphrasing (Robertson & Zaragoza, 2009; Xiao et al., 2023). While hybrid fusion (Cormack et al., 2009) and Cross-Encoder reranking (Nogueira & Cho, 2019) mitigate ranking errors, existing benchmarks isolate retrieval from generation (Gao et al., 2023). Furthermore, standard workflows lack automated taxonomies to categorize retrieval misses, context noise, and hallucinations (Barnett et al., 2024).

2. FRAMEWORK & METHODOLOGY

The laboratory provides an end-to-end, modular testbed:

1. **Multi-Strategy Chunking:** Supports sliding window (400 chars, 80 overlap), sentence-window, semantic divergence, and hierarchical parent-child sectioning.
2. **Dual Indexing & Hybrid Fusion:** Combines FAISS Inner Product dense search (unit L_2-normalized BGE-Small) and BM25Okapi using MinMax-normalized weighted fusion ($\alpha \in [0.25, 0.75]$) and Reciprocal Rank Fusion ($k = 60$).
3. **Neural Reranking & Filtering:** Batched Cross-Encoder reranking (ms-marco-MiniLM-L-6-v2) over top-10 candidates, followed by score-threshold filtering ($\tau = 0.10$) with a top-1 safety fallback against empty contexts.
4. **Diagnostic Failure Taxonomy:** Automatically classifies errors across 7 failure modes: RETRIEVAL_MISS, RANKING_FAILURE, INSUFFICIENT_CONTEXT, CONTEXT_NOISE, GENERATION_FAILURE, HALLUCINATION, and GROUND_TRUTH_AMBIGUITY.

3. EMPIRICAL EVALUATION & QUANTITATIVE RESULTS

Evaluation was conducted over 2,000 SQuAD v1.1 passages across N = 30 controlled test questions, reporting both the **Committed Baseline Run** (Run 1: remote Groq allam-2-7b) and the **Live Reproduction Run** (Run 2: local CPU execution with extractive fallback):

Configuration	Recall@1 (R1 / R2)	Recall@3 (R1 / R2)	MRR (R1 / R2)	Token F1 (R1 / R2)	Semantic Sim. (R1 / R2)	E2E Latency Run 1 (Cloud API)	E2E Latency Run 2 (Local CPU)
BM25 Lexical	0.500 / 0.233	0.800 / 0.633	0.625 / 0.445	0.085 / 0.037	0.674 / 0.565	8.852s	**0.048s**
Dense FAISS	0.800 / 0.867	0.900 / 0.967	0.850 / 0.906	0.066 / 0.031	0.700 / 0.608	6.609s	1.483s
Hybrid (α = 0.50)	0.800 / 0.900	**1.000** / **1.000**	0.883 / **0.944**	0.073 / 0.031	0.721 / 0.609	9.788s	0.371s
Hybrid (RRF)	**0.900** / 0.667	**1.000** / 0.967	**0.950** / 0.800	0.070 / 0.035	0.728 / 0.591	10.001s	0.332s
Hybrid + Rerank	**0.900** / 0.867	**1.000** / **1.000**	**0.950** / 0.933	0.061 / 0.046	0.696 / 0.615	8.393s	0.968s
Hybrid + Rerank + Filter (τ = 0.10)	**0.900** / 0.867	**1.000** / **1.000**	**0.950** / 0.933	0.080 / 0.046	0.696 / 0.615	**5.785s**	2.083s

Run 1: Evaluated with remote Groq Cloud API (allam-2-7b); latencies include remote network round-trips. Run 2: Local CPU rerun using extractive fallback, isolating retrieval and reranking latency (<0.01ms generation). Exact Match is 0.000 across all configurations due to sentence-level output vs. extractive noun-phrase span mismatch. Variations on N = 30 reflect run-to-run sampling sensitivity.

4. DISCUSSION & METHODOLOGICAL FINDINGS

1. **The Retrieval-Generation Plateau:** Hybrid retrieval ($\alpha = 0.50$) with Cross-Encoder reranking achieves complete candidate coverage (Recall@3 = 1.000, MRR ≥ 0.933). When relevant parent context is present within the top 3 candidates, subsequent ranking improvements from rank 2 to 1 yield diminishing returns for generative LLMs capable of in-context attention.
2. **Metric Behavior & Divergence:** Exact Match drops to 0.000 and Token F1 incurs precision penalties (0.03–0.08) due to structural length disparities between full sentences and extractive spans. Conversely, dense embedding similarity (0.56–0.78) tracks semantic proximity but fails to verify factual correctness, demonstrating the need for dedicated factuality metrics.
3. **Filtering & Latency Dynamics:** Threshold filtering ($\tau = 0.10$) incurred zero recall loss across both runs. In remote cloud execution, it correlated with an aggregate 31.0% end-to-end latency reduction (8.39s → 5.79s) by eliminating prompt context noise. On local CPU, filtering introduced small evaluation overhead without latency gains, confirming that latency savings depend on LLM token generation cost.

5. LIMITATIONS & FUTURE WORK

This benchmark evaluates an exploratory subset of 30 queries across 2,000 passages at parent-passage granularity. Future work will expand across full 500-question sets with local LLMs (Ollama), multi-hop datasets (HotpotQA), and automated factual consistency evaluators (AlignScore/Q2).

6. KEYWORDS & REFERENCES

Keywords: Retrieval-Augmented Generation; Hybrid Retrieval; Cross-Encoder Reranking; Failure Taxonomy; Pareto Optimization.

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